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IV Exercises

1. Pass adjusting entries for the following:
   (a) The closing stock was valued at ` 5,000
   (b) Outstanding salaries ` 150
   (c) Insurance prepaid ` 450
   (d) ` 20,000 was received in advance for commission.
   (e) Accrued interest on investments is ` 1,000.

2. For the following adjustments, pass adjusting entries:
   (a) Outstanding wages ` 5,000.
   (b) Depreciate machinery by ` 1,000.
   (c) Interest on capital @ 5% (Capital: ` 20,000)
   (d) Interest on drawings ` 50
   (e) Write off bad debts ` 500

3. On preparing final accounts of Suresh, bad debt account has a balance of ` 800 and sundry debtors account has a balance of ` 16,000 of which ` 1,200 is to be written off as further bad debts. Pass adjusting entry for bad debts. And also show how it would appear in profit and loss account and balance sheet.

   (**Answer**: Profit and loss account: ` 2,000 (Dr.);
   Balance of sundry debtors in balance sheet: ` 14,800)

4. The trial balance on March 31, 2016 shows the following:
   Sundry debtors ` 30,000; Bad debts ` 1,200
   It is found that 3% of sundry debtors is doubtful of recovery and is to be provided for. Pass journal entry for the amount of provision and also show how it would appear in the profit and loss account and balance sheet.

   (**Answer**: Profit and loss account: ` 900 (Dr.);
   Balance of sundry debtors in balance sheet: ` 29,100)

5. The trial balance of a trader on 31st December, 2016 shows sundry debtors as ` 50,000.
   Adjustments:
   (a) Write off ` 1,000 as bad debts
   (b) Provide 5% for doubtful debts
   (c) Provide 2% for discount on debtors
   Show how these items will appear in the profit and loss A/c and balance sheet of the trader.

   (**Answer**: Profit and loss account: ` 4,381 (Dr.),
   Balance of sundry debtors in balance sheet: ` 45619)